Honeywell Automation India Ltd. (HONAUT)

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39th Annual General Meeting of Hone ywell Automation India Limited
Held on 10th August 2023

- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Dear Shareholders, good afternoon and regret the small delay in starting this meeting because of a technical error. I am Dr. Ga nesh Natarajan - Independent Director and Non-Executive Chairman of the Board and Chairman of the Audit Committee. I am attending this meeting through video confer ence from Pune. I welcome and thank all of you for joining this 39th Annual General Meeting of the Company. The Annual General Meeting is being held through vide o conferencing in compliance with the applicable provisions of the Companies Ac t, 2013 and the SEBI Listing Regulations. The Company Secretary informs me that the members present form the necessary quorum and the meeting is properly constitute d. I now call the meeting to order. Before I proceed further, I would like to inv ite all the directors who have joined this meeting through video conference to intr oduce themselves and also confirm the location from where they are attending the meeting.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Ms. Neera Saggi.
- Ms. Neera Saggi – Independ ent Director, Honeywell Au tomation India Limited:
- I am Neera Saggi - Independent Director and Chairperson of the Nomination and Renumeration Committee. I am attending this meeting through video conference from Pune. Thank you.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Mr. Ashish Modi
- Mr. Ashish Modi – Non-Executive Di rector, Honeywell Automation India Limited:
- Hi, I am Ashish Modi – Non-Executive Di rector & Chairman of the Stakeholders' Relationship Committee. I am attending this meeting through video conference from Bangalore. Thank you.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Mr. Atul Pai.

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- Mr. Atul Pai – Non – Executive Director , Honeywell Automation India Limited:
- Good afternoon, I am Atul Pai – Non-Ex ecutive Director a nd Chairman of the Corporate Social Responsibi lity Committee. I am attending this meeting through video conference from Pune. Thank you.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Mr. Brian Rudick
- Mr. Brian S. Rudick – Non – Executive Director, Honeywell Automation India Limited:
- I am Brian Rudick- Non-Executive Director of the Company. I am attending this meeting through video conference from Pune. Thank you.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- With me present on the dais is Mr. Ashish Gaikwad to my left, who is the Managing Director & Chairman of the Risk Management Committee.
- Mr. Pulkit Goyal – Chief Financial Officer of the Company and
- Ms. Indu Daryani, the Company Secretary.
- We also have our senior management team, representatives of the Statutory Auditors - Deloitte Haskins and Sells LLP, Secretarial Auditors - J.B. Bhave & Co., Company Secretaries joining this meeting through vide o conference. We welcome them to this meeting.
- Also, on behalf of the board I would like to place on record our appreciation of the valuable contribution made by Dr. Akshay Bellare, Mr. Rajesh Rege, Ms. Nisha Gupta and Ms. Farah Irani during their re spective tenure with the Company.
- I hereby request the Company Secretary to fa miliarize you with some of the general instructions as regard s participation and voting at this meeting.
- Ms. Indu Daryani – Company Secretary, Honeywell Automation India Limited:

- Thank you, Sir. Good afternoon shareholde rs. I Indu Daryani, Company Secretary of Honeywell Automa

tion India Limite d, welcome all of you to our 39th Annual General Meeting of the Company. Since this mee ting is being conducte d virtually without presence of members in person, the requ irement of appointment of proxy is not applicable. An electronic copy of the re gister of directors and KMP and their shareholdings and register of contracts or arrangements in which Directors are interested are available for inspection.

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- As required under the Companies Act an d the SEBI Listing Regulations, the Company has provided to all the shareholders the facility to cast their vote electronically through the e-voting system administered by NSDL. The e-voting facility is also provided to shareholde rs present virtually at this AGM. The shareholders may please visi t the e-voting page of NSDL website and cast their vote in case they have not already done so during the remote e-vo ting period while the proceedings of this meeting are on.
- Since the meeting is held through VC and resolutions set forth in the notice have already been put to vote through remote voting there would not be proposing and seconding of the resolutions. Ms. Amru ta Bilgi of M/S. Bokil Punde &. Associates, Company Secretaries, has been ap pointed as the scrutinizer for the remote e-voting and e-voting to be conducted at the AGM.
- While most of you are already aware of th e process of participation and e-voting at the AGMs through video conferencing I would like to briefly explain the technical aspects for the benefit of first-time participants.

o The facility to join this meeting is made available to all the members on first come first basis.

o All members who have joined this meeting are by default kept on mute and their videos are turned off by the host to avoid any disturbances arising from background noise.

o Once the Q & A sessions begins the Chai rman will sequentially announce the name of the shareholders who have regi stered their names to speak at this meeting.

o When the Chairman calls out the name, microphone or speaking facility for such holder will be unmuted by the host.

o Once the speaker is unmuted, he/she is required to turn the video button on which is optional and start speaking after mentioning the name and location from where they are joining the meeting.

o If he/ she is unable to join through video for any reason, the speaker may speak using the audio mode.

o If there is any connectivity problem at the speakers end, we will request the next speaker to join, and once normal connectivity is restored the earlier speaker will be requested again to sp eak after the othe r pre-registered speakers.

o We request speaker shareholders to be brief and specific to the business of the meeting and to limit their speech to up to 3 minutes. Also, in case any of your questions get answered during the course of presentation by our MD and CFO request to please exclude asking these again when your turn comes up.

o Pursuant to the provisions of section 108 of the Companies Act and related rules all the members of the Company have been given the opportunity to cast their vote by way of remote e-vo ting. The cut-off date for the same was Thursday, August 3rd and voting window was open from Monday, August 7th from 9:00 a.m. IST to Wednesday, August 9th till 5 p.m. IST. Those who are members as on cut-off date are eligible to cast their votes.

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o Members who have not cast their votes by remote e-voting can cast their vote at the AGM.

o Those members who have cast their vote through remote e-voting can participate at the meeting but cannot vote again.

o Voting window is open during the meet ing and will also be available for another 15 minutes after the closure of the meeting.

- With this I request the Chairman to take forward the meeting.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Thank you, Indu. Sin

ce the notice pertaining to this AGM was already circulated to the shareholders, I take the same as receiv ed and read. The statutory Auditors of the Company, Deloitte Haskins and Sells LLP and the Secretarial Auditor of the Company, Jayavant B. Bhave of JB Bhave and Company, Company Secretaries have submitted their respective reports for the financial year ended 31st March 2023. Since there are no qualifications, reservations or adverse remarks in their respective reports and the Annual Report has been published and available on the website of BSE, NSE, NSDL and the Company, I take these reports as read. I would like to share with you the performance of the Company during th e financial year 22-23 and the general outlook of the economy.

- Dear shareholders, I am delighted to ad dress you today as the Chairman of your Company and present to you the 39th Annual report for the financial year 2022-23. I am thankful to you for your continued trust and confidence in your Company's capabilities in its continuous journey and grow th. In the last financial year, India has emerged as the most resilient and one of the fastest growing economies in the world despite significant challenges in th e global environment including continuing disruptions of supply chain following th e rise in geopolitical tensions, the synchronized tightening of gl obal monetary policies and inflationary pressures. India's economy bounced back after th e pandemic in FY2021-22 with the GDP growing 7.2% in FY 2022-23. The Government of India continues to strengthen the key sectors of the Indian economy with Ca pex and policy initiatives to drive long term sustainable growth. The fundamenta ls of the Indian Economy remain strong. Your Company is committed to leading en ergy transition and shaping a sustainable tomorrow. Honeywell Automation India Limited is dedicated in playing a lead role in the Country's transformation to a sustaina ble future and is well on its way to delivering on its commitment to make all its facilities and operations Carbon neutral by 2025.
- Another focus area for your Company is di gital transformation. Your Company has a long experience in process control, cyber security and managed performance and is geared to cater to the requirement of the shareholders and help them optimize operations, provide remote visibility and dr ive safety, reliability and efficiency. Through the integration of sustainability an d industrial visualization into its core business strategy your Company aims to achiev e long-term value for all shareholders.

- Your Company's CSR activities, environm ental initiatives and ethical corporate governance are focused on fulfilling our ESG - Environment, Social and Governance responsibilities. I am proud of the progre ss your Company has made so far in providing sustainable solutions for all stak eholders around health care, education, infrastructure and community development.
- Your Company will continue to work furthe r and make a further impact on its people, families and the communities itself. Your Company has constantly invested in state-of-the-art facilities, cutting-edge technologi es, and highly skilled personnel. This has enabled it to deliver superior quality pr oducts and services to customers, meet international standards and surpass expect ations. The industries which your Company serve include process solutions, building solutions, IOT, Global manufacturing and Engineering Services and the Company is well positioned for continuing global growth.
- On behalf of the Management and Board of Directors of Honeywell Automation India Limited, I want to thank you for your trust, confidence, and support. We look forward to your continuing support as we drive the Company forward for future growth.
- I would now hand it over to the Managing Director Mr. Ashish Gaikwad to give a brief overview of the operations of th e Company and a summary of the business results.
- Mr. Ashish Gaikwad - Managing Director, Honeywell Automation India Limited:
- Thank you, Mr. Chairman and good afternoon, to all dear shareholders. As you have heard from our Chairman, how our Company is geared up to participate in the growing Indian economy, I would like to shar e with you some of the glimpses of the past year i.e., financial year 2022- 23. Next slide please.
- Alright as we say here at H oneywell Automation India that safety is our first, second and third priority and on this particular ch art that is exactly wh at I am trying to convey to all of you. If you see on the left-hand side top corner that shows average safety observation numbers that each one of us at the Company is expected to contribute, which means that every time we are at home or at work or at customer locations, we look for any possi ble issues that may compro mise the safety and that number is consistently 5 or a bove. What it indicates is that we are creating a culture of

observing your surroundings all the time whet her at home or in the community or at your workplace so that we are continuously av oiding any hazardous situation or safety issues.
- The second is about then taking that from our employees to our customers, to our contractors, to our partners and also in society at large. And that’s what is our mission. We will continue to work on this and therefore make sure that not only within our own premises but everywhere we take our business we operate safely.
- Then on the right-hand side at the top you actually see nothing, which is good news. You see zero for 2021,2022 and 2023. This essent ially is the total case incident rate which means that we have not recorded any serious case or incident that would have

compromised the safety or the health of ou r employees or our partners. We want to keep this record going and therefore with yo ur support we want to continue to focus on safety first. Next slide please.
- As you know all our teams, our engineers, our technicians they work at various sites, either in site which are infrastructure sites like airports or metro stations or commercial buildings or at the industrial sites where you have the refineries or
petrochemical complexes or pulp and paper machines or any other. All of these are areas where there could be safety issues and because we are aware of our surroundings, and we want to spread the safe ty culture we have been recognized by our customers. What you see on the screen he re is a small representation of multiple recognition, awards, and accreditations that your Company has got on the subject of Health, safety and Environment. We also have received a golden peacock award in the previous financial year, and we are very proud of receiving this award. Next slide please.
- While we are looking at safety and building a safety culture, we are also very proud to run our Corporate Social Responsibility pr ograms and what you see on the screen here in front of you is a charter that drives us. This is essentially divided into 3 focus areas that we have embarked upon.

o The first one is Holistic and Sustainable Community Development. This is all those areas or places which are near our factory or in the vicinity of where we work. Where we have either villa ges or under privileged societies, we want to go there, we want to make sure that we develop these communities in terms of education, in terms of sani tation, in terms of access to energy, healthcare and that’s what we would co ntinue to spend as the spending of our CSR funding.

o The second area is around educatio n – Education, Skills and Research and Development. So, in this particular aspect we have been engaged for now several years with a specific girl’s education society called “Avasara” near Pune and there we fund that particular institute by providing them with the STEM Education – STEM stands for Sc ience, Technology, Engineering and
Ma

thematics. As you know Honeywell is a technology company, and we would like to bring that expertise from the Company to society and therefore ignite young minds. And especially those who are under privileged children. Here in this program, we are specifica lly focusing on the underprivileged girl children.

o The third bucket that you see there is about caring about the plant, and this is essentially to support the climate change problem that everyone is battling with and wants to try and solve. Unde r this program we are planting trees and we are making sure that these plan ts are looked after to become tree and therefore help in the environment protection.

- We will continue to do these programs unde r the CSR chart. Next slide please.
- And so, as we know that all the good work ge ts recognized, here is a sample of some of the recognitions we have received based on our Corporate Social Responsibility work that your Company has embarked upon.
- The first one is the National CSR Awar d. It was for 2020, but the announcement happened in 2022 and therefore we are delighted to share that with all of you shareholders.
- The second one is a Mahatma Award for 2022. This was essentially given by the government and the industry di gnitaries to your Company, and this was mainly for the

work that your Company had done in supporting the communities during the pandemic peak times. And therefore, suppl ying medicines, food, and some of the other facilities to them. I am very proud that our teams have been able to do this good work and also get recognized for this work. Next slide please.

- Now we will come to the Business updates, but I jump into the business numbers I want to make sure that I thank all of you, the shareholders for supporting us through the 2 tough years that we experienced pande mic. They were inde ed trying times and you stood by us, and I cannot thank you enough. I also would like to share with you that together with your support we have posted the highest revenues ever for the financial year 2022 – 23, this is INR 3,448 cr ores and this is about 17% year on year growth. I think we are showing that we are coming out of that tranche that we went through in the pandemic years, and we are now getting back on to the growth path. The net profit we posted is also very good. It is in the range of about 22% year-on-year growth, and we will talk about t hose numbers in the subsequent slides.
- We will also review some of the macro i ndicators. I think our Chairman touched upon some of those macro trends and we will talk about that in the slides to come. And we believe that your Company is in an en vironment where these macro trends which are driving the GDP of the nation are going to be very important.
- Lastly, I would like to make sure that I take this opportunity to thank each and every employee of your Company. They all contributed to this part icular business result that I am sharing with you. They have worked in difficult times, they have shown their commitment, they have put in hard work, an d it is the result of all these employees, our partners, all the customers who have supported us through thick and thin and I would like to make sure that we than k them at this AGM. Next slide please.
- So, before we get into some of the Compa ny related macro-economic trends let’s look at the economic indicators for our country . We have been looking at these in every AGM in the last few years.
- The first and foremost is of course the Gr oss Domestic Product and we see that the gross domestic product of 2022-23 was about 7.2%. I think this year looking at various reports we tend to believe that it will be slightly lower than what we saw in the last year. But still, I think it is above 5 and therefore still provides a good environment for us for growth.

- The second one is about Fiscal deficit. As all of us know that as the Fiscal deficit increases, g

overnments will have to borrow more and therefore it will have an impact on interest rates, it will have an impact on the ability to borrow more capital for the private industry and the fact that the Fi scal deficit is seemingly going down and is coming under control is a good indication for us and we see this as a good economic indicator for our Company.
- The third one is inflation. When we witnessed the war in Europe and also some of the other geopolitical tensions around the world this led to certain energy-related crises and therefore the inflation. And we see that inflation is kind of easing out right now in the country. What you see there are the numbe rs of CPI or consumer price index and as it goes down that will augur well for every business.
- The next one is of course Interest rates. They have gone up and they are around 6.5% as you see for the current year. And we ar e hoping that since they have stabilized and are not going up, we should be able to deal with that particular economic indicator and therefore adjust ourselves. We would st ill like to have it lower than going higher.
- And the last but important one is about the Cr ude Oil Price. As we know that in India, we have to import almost about 80 plus % of our oil and natural gas and therefore the price of oil and natural gas makes a big im pact on the business environment. We have seen that the oil prices have steadied. What you see there is an average indicated price which is in the range of about 80$ per barrel and because it is not going up or at least we have seen so in the historical trend we be lieve that this is also going to be a helpful economic indicator for us. So overall I think it is a mixed set of parameters as you see on the slide, and we obviously will do our best to make your Company’s results continue to go forward in this environment. Next slide please.
- So here you can see the 2 important business results for the financial year 2022-23. On the left-hand side, you see the revenues and on the right-hand side you see the profit after tax. The revenues as I mentioned to you earlie r are Indian rupees 3,448/- crores, now this is the highest revenue you ha ve ever printed. And we are really proud of the achievement that everyone has achi eved. This is about 17% growth from the previous year i.e. FY 21-22. If you look at it in terms of the GDP, then it will be about 2.36 times of that of the GDP growth. If you take GDP growth at about 7.2%. So that is something which is good.

- On the right-hand side you see Profit after Tax and that also from the previous year has gone up by 29%. So, from 339 crores in FY 21-22 it is 438 crores in FY 22-23. And so again something that we are proud of and what it means is that we have been able to generate that profit by leveraging th e fixed cost and therefore increasing the revenue which I talked about you are converti ng a lot of that increased revenue into the profit.
- I would also like to spend a couple of minu tes on the macro growth vectors in India. And I would like to talk about a few that really matter for your Company. First and foremost is the infrastructur e development that the country is going through and when I talk about infrastructure I am talking about new airports, I am talking about the new metro lines, I am talking about the hospitals the new facilities which are getting built

and that infrastructure needs building au tomation and that is something that your Company has a portfolio to support.
- Second such trend or a growth vector th at we see is around the manufacturing push that you see in the Indian Economy. And what it means is that there are going to be new facilities that are going to come up in terms of either the chemical industry manufacturing new chemicals or the discreet manufacturing that is coming up and is building the factories for solar panels, the batteries that go into EV's or also the batch chemical

type of industries which are most ly towards pharmaceutical, life sciences etc. All of these facilities that are comi ng up in the manufacturing sector will need again process automation and many other pr oducts and solutions and services that your Company provides.
- The third one is about the digitalization in the industries. This is a trend that got accelerated during pandemic and all of us are aware of it and we believe that we have good solutions that can support the digitalization of industries for increasing productivity of these industries.
- The next one which the Chairman also touche d upon is the energy transition. All of us know that to save the planet and to fight cl imate change we need to shift from fossil fuels to renewables. And that means that a lo t of industries will come up which will help this energy transition. There are multip le such solutions that we have in your Company Honeywell Automation India that also can contribute to this energy transition. There are other new fuels that are being talked about such as the hydrogen or the use of hydrogen as fuel or the pipe lines that will transfer the hydrogen from its generation points to its consumption points. And also there are other fuels like ethanol which are getting blended into the petrol or ga soline. So all of these, when need to be deployed, will need automation and again, that is something which is a good growth vector for our economy. So, I just wanted to share with you some of these growth vectors that we are focused on.
- This is a chart that we have consistent ly shown you in every AGM. It shows 2005 when we started Honeywell Automation Indi a and we then take it to the current year and we express the trend in terms of the compounded annual growth rate which you can see for the revenue or the sales on the left hand side is at 11% for the top-line or the revenue. And on the right ha nd side, for the earnings before interest and tax, it is 15% compounded annual growth rate. The point that we want to show to you is that this is something that we wo uld like to continue to drive and make best efforts to print results like this for your Company.
- This is another chart that we have been consistently showing to you. On the left hand side you see a pie chart which is indi cating the numbers for 2005. At that point in time, it shows 19% exports revenue a nd 81% domestic revenue. And for the year that we are discussing, the year that went by FY 2022-2023, we had 41% exports and 59% domestic. Now, I know that this pie ha s been changing a little bit depending on each year and I wanted to share with you in that context that when we look at the exports versus the domestic, the exports revenue to your Company comes from the different economies in the world, diff erent countries in the world and those economies, depending on which region you are talking about, can be high or low.

But when it comes to domestic market right now, as we see the GDP and the overall environment in India, there is a lot of opportunity that your Company can engage with and therefore this pie of domestic re venue has opportunities to increase. I just wanted to make that point and share that point with you. And the reason this is important is, when we look at your Company's business model, it is mostly to do projects which get installations into the same customers for new facilities or new customers for new facilities. And once that installed base is created for automation, we can go and provide lifecycle services on top of that installation. And so, currently, we are in that phase of building the installed base in the domestic market.
- So, those were the points I wanted to cover with you. We will come back again in the

question and answer session. But for now, thank you again for pa tiently listening to
me and I would like to hand it back to Mr. Chairman.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Ch

airman,
Honeywell Automation India Limited:
- Thank you very much Ashish, for that ve ry comprehensive presentation. May I now
open the floor for members who have registered themselves as speakers to pose their questions? Members may please note that after raising the questions, they
shall be placed on mute. We would requ est speaker shareholders to keep their
questions brief and specific to the business of the meeting and to limit their speech
up to three minutes so that other shareholders have a fair chance to speak.
- I now request participation from the follo wing speakers. First, Mr. Jonas Bhutta,
representative, Aditya Birla Mutual Fund.
- Mr. Jonas Bhutta – Representative, Aditya Birla Mutual Fund:
- Thank you, gentlemen. So, a couple of qu estions and a few suggestions from our
side. We will start with the top down. Firs t is, the parent entity, when we look at
their commentary, they consid er India as a high growth market. But if we see the
listed entity, the HAIL sales growth for the la st 5 years, it's merely grown at about 2%
CAGR. So, we would appreciate some articulati on around if the parent thinks India is
a high growth market, why has the Indian listed entity not benefited? Have other
entities of the group sort of gained from this? A joint question to this was on the
export side. So, exports, while they have grown 28% yea- over-year, at 1400, they
are largely flat between now and fiscal 2019, that is pre-COVID. So, despite no
material deterioration in the parent entity 's outlook for its HPS segment, which is
one of the key drivers for exports for us, what has led to this underperformance?
- Thirdly, the growth in orders from non- Honeywell customers has sort of reduced,
because I remember in fiscal 2022 we had mentioned that this order book had
grown is up 30%, while that in FY23 is up just 12%. So, what has led to this sort of
slower growth in our non-Ho neywell business in terms of orders? Fourthly, there is a
line item called purchase of traded good s, roughly Rs. 380 cr ores, accounting for
about 11% of sales. This is the highest level it has been in terms of absolute rupee
crores for the past 8 or 10 years. What is leading to this increase in traded goods?
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Which segment do you attribute it to? Fifth, procurement from Chinese group
entities has sharply increased in FY23. Is this project specific or there is a structural
change in our supply chain?
- Sixth, in the MD's comments, he mentione d that he expects the domestic pie of
revenue to have a better outlook. Historically, we have seen that when domestic
sales outpace export sales, the operating profit of the Company does not grow as
fast as its sales. Can you just elaborate on what is the outlook, if such a scenario does
play out, where domestic sales outpace exports, what would be the impact on our
EBITDA margins? Lastly, we have written to the Company separa tely, but wanted to
again reiterate that we would really appr eciate as shareholders and stakeholders,
that the Company hosts at least one analyst meet, which is a regular practice now by every listed entity, be it multinational or a domestic company, and this is probably in
line with even our parent’s intent to be an investor friendly company. And lastly, we
would really appreciate articulation of the key drivers. While Mr. Gaikwad did
mention the growth vectors, but really arti culation about if this energy transition
were to happen, what are the key segments of our or key product lines of our
Company that actually gain? If digitizati on was to happen, how does that really
benefit the Company? Because we see a comple te lack of articulation, at least at a
granular level. We would rea lly appreciate if the Company does sort of improve on
this. This really helps not just in us understanding the Company better, but just
creates far greater transparency amongst shareholders and stakeholders. Thank you.
- Dr. Ganesh Natarajan – Independen

t Director & Non-Executive Chairman,
Honeywell Automation India Limited:
- Thank you, Mr. Bhutta. May I now request Mr. Nihar Shah, representative of ENAM
Securities Private Limited?
- Mr. Nihar Shah – Representative, ENAM Securities Private Limited:
- So, I had a few questions. First is, the ma nagement has time and again spoken about
maintaining a growth rate whic h is 1.5x to 2x of the GD P of the country. With the
GDP expected to slow down, are we confid ent of maintaining a double digit growth
rate going forward? And in context of that , repeating from the previous participant
that we've seen our non-Honeywell orders decline from…the growth has reduced

from about 30% plus to about 12%. What is driving the lower growth rate compared
to the earlier years? Second question is, we have seen an increased focus on new
verticals like pharma, life sciences, sensin g IoT. Can you talk a bit more in detail
about what does Honeywell exactly provide in these industries and what
differentiates us from competitors to be able to win in this segment?
- Third question is, our gross margins have materially been lower compared to our
FY19, FY20 levels? This is despite the shar e of services moving from about 31% to
35% plus. Can you talk about the factors that have led to a negative impact on cross
functions and how do you expect these to pan out going forward? Also, what we
have seen is your number of employees at Honeywell Automation India roughly the
same as what they were in FY16. Can you talk about what is helping the Company

grow in terms of revenue despite mainta ining the similar level of employee base?
And in that context, in the recent quarter result that we have just declared, we have
seen a 15% growth in employee expenses. So , i s t h a t a f u n c t i o n o f h i r i n g o f m o r e
employees or is that a function of ju st salary hikes gi ven to employees?
- And also, could you talk about what has led to the stark growth in other expenses in
the quarter one result? For Honeywell operating system, have we reached the gold
level for any of our plants? And if yes, could you mention the product lines that we
are doing if we have reached there and if not, what is the next step for us to be able
to reach to that level? Thank you.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman,
Honeywell Automation India Limited:
- Thank you, Mr. Shah. May I now request Mr. Mahesh Bendre, representative of the
LIC Mutual Fund Asset Management Limited?
- Mr. Mahesh Bendre – Representative, LIC Mutual Fund Asset Management
Limited:
- Hi sir. Thank you so much for the opportuni ty. So, first and foremost, today only we
have declared first quarterly numbers. We have fairly good sales growth but our profit has remained flat. So, why margins are
down on Y-o-Y and Q-o-Q basis? If you could explain that that will give us a good insight. Secondly, the broad outlook for
India business and export business, I hear d the management on television talking
about the domestic business outlook, more orders are coming from various sectors.
So apart from oil and gas, which are the se ctors which are actually driving the growth
for us. What is the outlook for the coming and next year?
- On the export side, Honeywell Group has seen a lot of high profile appointments in
last 6 to 9 months. There has been a very aggressive sales growth and target set up
by the parent, and in that context, India has given lot more preference. So in the
context, what is the outlook for the Indian operations as a whole? Third is, what is
the current order book as of now at the end of quarter one. Secondly, last year what
was the contribution from oil and gas business to our total sales? The rest of the
questions have already been asked to you by my colleagues. So just a suggestion.
Honeywell Automation is a fairly large company and we are a part of every index
now in India, probably. So,

from a transpar ency viewpoint it is very important that
you conduct at least one analys t meet every year. If it is not possible, then at least
upload some kind of press release or presentation so that as the shareholders we
will get a fair idea about what is happen ing inside the company. Because otherwise
once in year AGM we are completely unawa re about what is happening inside the
company. That is all from my side. Thank you sir.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman,
Honeywell Automation India Limited:
- Thank you Mr. Bendre. Next, may I request Mr. Ravi Kumar Naredi?

- Moderator:
- Mr. Ravi has not joined the meeting, sir. We may move on to the next speaker
shareholder.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman,
Honeywell Automation India Limited:
- Okay. In that case, can I request Mr. Himanshu Upadhyay?
- Mr. Himanshu Upadhyay – Shareholder:
- I have written the questions and sent to you, but I will just repeat few of them and
one observation is there. The first is, what are the top three priorities for senior
management for FY24 and 25? Secondly, what initiatives are we taking to gain more
market share in the business we are present? Third, our revenues have crossed the previous peak, but the margins are still
near ly 3% away from the peak. What is the
reason for it? Has there been a significant product mix change, high inflation,

increased competition etc.? Some of your insi ghts on that will be highly helpful.
- Fourth, the expected credit loss allowance has increased quite materially in FY23. Can you please explain the reason for it ? Fifth is, the new orders from new non-Honeywell customers is up only 12%, which seems to be quite muted in respect to what we have seen for some other capital goods companies. How should we understand it? Sixth is, we are seeing many competitors coming in the space of automation and sensing. To win in this ma rket, how important is to have in-house manufacturing to be cost competitive ve rsus importing and dependent on imports for the winning orders?
- Seven, what percentage of revenues for us would be from products and services we have introduced in last 5 ye ars? How do you track the innovation index at the India entity level? Eighth is, our domestic busine ss has not grown from FY19, which is very unlike other capital goods. Can you please explain what the challenges you are facing and how worried as an investor we should be from a company wh o is as transparent as Honeywell can be? Ninth, are we balancing growth with margins or we are too focused on margins leading to low growth in our domestic business? And last on is an observation, especially with Chairman Sir and Ashish ji. You took around twenty minutes to talk about safety CSR and again the macro tr ends. It would be highly appreciated if you would give some of your insights on the business competition and what are you doing to make and grow your pr ofits so that we can do more on safety CSR and contribute to the growth of the co untry. Ten minutes were spent on your financials. I think is it not very lopsided and are we not taking things to the other extreme? Thanks. I hope you can understan d the grievances of the shareholders.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Thank you Mr. Upadhyay. May I now request Mr. Sadhanand Shastri?

- Moderator:
- Mr. Sadhanand Shastri and Mr. Mahesh Kumar have not joined the meeting, sir. We may move on to the last speaker shareholder.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Okay. So, may I now request Mr. Rahul Mo di, representative of Nippon India?
- Mr. Rahul Modi – Representative, Nippon India:
- (distorted audio)
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairma

n,
Honeywell Automation India Limited:
- Sir, your audio is a little poor. Can yo u please readjust? Can't hear you.
- Mr. Rahul Modi – Representative, Nippon India:
- (distorted audio)
- Moderator:
- He seem to be facing so me technical difficulty.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Yes. Maybe we can try and address his difficulty. But in the meantime, maybe I should ask MD - Mr. Ashish Gaikwad and CF O - Mr. Pulkit Goyal to answer the other queries, because there's a whole comprehensive list of queries. And then we'll come back to Mr. Modi at the end in case we ar e able to maintain the connection. Ashish.
- Mr. Ashish Gaikwad – Managing Director, Honeywell Automation India Limited:
- Thank you, Mr. Chairman. Maybe we will start with the questions that Mr. Jonas Bhutta asked from Aditya Birla Mutual Funds. I think the first question that you asked was about the parent Honeywell consid ers India as high growth region for the past few years, but sales have grown only 2% CAGR from FY19 to FY23. Where else has this growth been and is it captured el sewhere in the group? I would like my CFO, Mr. Pulkit Goyal to take that question.
- Mr. Pulkit Goyal – Chief Financial Office r, Honeywell Automation India Limited:
- So, thanks for that question, Mr. Bhutta, an d thanks Ashish too. With reference to that question, let me kind of try clarif y that Honeywell is a diverse industrial conglomerate and whenever Honeywell spea ks of the HGR or high growth region, specifically India in this context, we have to keep it in mind that HAIL has a part of

the Honeywell's portfolio inside and some of the high growth rate that Honeywell speaks of is sitting also in the other le gal entities that are kind of independently operating within India. And that's why the high growth region growth may not be exactly comparable to HAIL’s growth dire ctly. I hope it answers the question.

- Mr. Ashish Gaikwad – Managing Director, Honeywell Automation India Limited:
- All right, let's go to the next question that was asked. It is, the growth in orders from non-Honeywell customers has reduced from 31% in FY22 to 11.9% in FY23. What led to this slow growth? I think, this, I had expl ained in the earlier interactions as well. A bigger portion of your Company has what is called as the long cycle projects business. And, you book the projects whic h turn the revenue over maybe 12 months to 18 months, to sometimes even 24 months, right? And so if the backlog goes down, then to build that ba cklog takes time and therefore then the revenue starts coming back up again. What we saw in spec ifically the 2 years that were affected by pandemic, that the number of opportunities in the market had gone down and therefore the backlog was burned from the previous years and now we are in the phase of building that backlog. That's how you see the growth rates in the order bookings that we have shared with you. And as we go along, you will see that the backlog that is being generated will turn into the revenue.
- Then you had asked about what role can HAIL play in automation and digitization in renewable projects? Any anecdotal projects etc. etc.? And basically you are saying w h a t t h e s p a c e t h a t w e w o r k i n i s . I t h i n k i t ' s a g o o d q u e s t i o n a n d i t g i v e s m e a n opportunity to further elaborate on what I talked about in my presentation earlier. Let's talk about the energy transition in I ndia. This is exactly what you are asking when you talk about renewable projects because renewable energy projects are associated with the energy transition. There is a move for sure from the conventional fossil fuels to the solar en ergy, wind energy and also more use of natural gas, ethanol that gets produced fr om the biomass or from the agricultural waste. There is a lot of talk about th

e green hydrogen and hydrogen being used as a fuel. So in all of these your Company, Ho neywell Automation India, has some play or the other, and let me explain that to you wh at I mean by that. When it comes to the solar plants or the wind farms that are producing energy, they produce energy only when the sun is shining or when the wind is blowing, whereas the requirement of this electrical energy is round the clock. And therefore to augment the energy produced by these sectors, you need what is called as the battery storage, which is also connected in conjunction with the solar and the wind and therefore we have a solution which we call as the battery energy storage system – BESS and your Company has offerings that go into this sector as an example.
- When it comes to the LNG or the natural gas, this gas comes from outside and it comes in the form of liquid. It needs to be regasified, it needs to be pumped through the pipelines and taken to the points of consumption. And so it needs a lot of automation along the way where you are conv erting the liquid LNG back into gas. So gasification, it needs to be a very highly controlled system because it is hazardous to handle such a gas which is highly inflammable and therefore your Company has

solutions that can control it well. And wh en it comes through the pipeline, how do you manage the pipeline, how do you make sure that the pipeline operations are properly done, there is an automation piece there. Also when it goes into the city gas distribution, where the gas reaches industries or households, there is a certain distribution system which needs contro ls and we have solutions there.
- Then there is a new industry which is comi ng up, it is ethanol industry. We are blending 10% of ethanol into our petrol a nd it is going to go right up to 20%. And beyond that, there is a lot of talk about ethanol directly getting used as fuel or ethanol getting converted into other usable fuels. And so all of these processes and industries are going to need the kind of automation that your Company has in its p ort f ol i o so w e ca n p l a y in t h a t ec o n om y a s w ell . Hy d r og e n , I t a lk ed a b ou t . W h en hydrogen is getting produced using the re newable energy, it basically is using an electrolyser which splits wate r into hydrogen and oxygen as we all know. And when you do that through this electrolyser, it needs what are called as programmable logic controllers or PLCs and again, that is th ere in our portfolio. And when hydrogen is either stored or transported, it needs auto mation and control and we provide that in that sector as well.
- Overall, when the renewable sector is getting created, it needs factories that will produce the photovoltaic cells, the PV cells, th e batteries that go into EV. All of these factories that will either produce batteries or the PV cells will need automation, they will need the building controls, they will need climate controls, access control, the CCTV surveillance and stuff like that. So all of this is again, a part of the overall portfolio. And also as a part of Honeywell Automation India, we have a certain portfolio of sensors that go into EV manufact uring, that go into medical devices, that go into transportation syst ems and all of these will therefore be important in this entire energy transition that you referred to.

- I am taking a little bit more time because so me of you had this grievance that we did not talk much about our exact solutions that go into the market. So I just spent some more time on this pa rticular question.
- You talked about the HAIL exports revenue of about Rs. 14 billion is flat versus FY19 and despite no material deterioration in the parent's outlook etc., I would like my colleague and my CFO, Pulkit Goyal to take that question.
- Mr. Pulkit Goyal – Chief Financial Office r – Honeywell Automation India Limited:
- Sure. Thank you, Ashish and th

ank you on ce again, Aditya Birla Mutual Fund for the question. As you may know and we have re ported it in our annual report already, that Honeywell has one reportable segment that is automation and control system. All our numbers are reported as per that accounting standards requirement and we won't be able to provide any sectoral info rmation. As far as export revenue related details are concerned, they have kind of al ready been shared. And maybe if I can just add a few more sentences to what Ashish just mentioned about the growth in the export market, as you have seen in the macroeconomic indicators, we see a lot of opportunities in the Indian market to gr ow and capture the business. So we will

continue to kind of focus on the domestic market and the opportunities and see that how we also, while stabilize the export busi ness, but at the same time also grow the domestic industry.
- Mr. Ashish Gaikwad · Managing Director, Honeywell Automation India Limited:
- Okay, thanks Pulkit. There is another que stion that was asked from Aditya Birla team. How is HAIL positioned in building au tomation segments in terms of capability compared to its peers, are there any major product gaps, etc.? Absolutely, no, there are no product gaps, we are very well positi oned. And we also are continuing to look for more solutions that we can prov ide in that particular space.
- There was another question which I will quickly address. I think there was a statement that procurement from Chinese group entities sharply increased in FY23. Is this project specific or there are struct ural changes? Not really, I don't think we have the same data as what you're looking at . It could be one of the specific projects that may be coming with the Chinese investment in India. There are some Chinese investments in India that have come in. There is one in the fertilizer sector as well. But other than that, we typically look at th e sourcing mostly from India, or from our Honeywell factories in the affiliate compan ies that we have, and therefore we don't see that as a major concern.
- The last question I will take from Aditya Bi rla was about what is HAIL's market share in relevant solutions in data centers and does data centers count for greater than 10% in domestic sales? So, I would like Pulkit to take that question, please.
- Mr. Pulkit Goyal - Chief Financial Office r, Honeywell Automation India Limited:
- Sure. Thank you, Ashish and thanks once again to Aditya Birla Mutual Fund for the question. As I mentioned earlier, so it has only one reportable segment that is automation and control system. And we do not capture the specific data on the market share as HAIL is also a diversifie d industrial company. And all of our reporting is done as per that reportable segment. And unfortunately, we won't be able to provide for the sectoral information.
- Mr. Ashish Gaikwad · Managing Director, Honeywell Automation India Limited:
- All right. Okay, I think then, we should move on to the questions that were asked by Mr. Shah from ENAM Securities. The first question that I noted was management has spoken about maintaining a growth rate of 2x the GDP growth, and therefore, with non-Honeywell orders growing at 12% in the last year, and how confident are we to maintain the stated growth rate, etc.? Well, again, like always, we do not want to be speculating, we do not want to predict anything that we may or may not have knowledge of from the future. So, what we do is, we, of course, always want to set a target for ourselves, and we will try drive that target. So that's where we always give this indicator of number of growing faster than the GDP growth. And that's why this nomenclature of two times the GDP grow th. However, it depends on multiple factors, as you know, and therefore, your Company, and all the colleagues that we

have with me, will try to do it. We will absolutely do our best, but there is

no assurance that we will always be meeting that target.
- The second thing that you have asked is about the number of employees at HAIL, and they have remained kind of flattish from FY16. Well, it's a good news because what we are doing is we are growing th e revenues as you can see, but we are maintaining the headcount, but equippin g them with more skills, with more

competencies, and also driving productivity through digitization and some of the other initiatives that we have, and we are able to grow the revenues with kind of a flattish headcount that we have by using more and more productivity tools, technology, etc.

- Then another question that you asked was Safety and Sensing Technology is a new vertical. Well, it is not a new vertical. We have just recently changed the previous name of that business globally. Earlie r, it was called as Advanced Sensing Technology. And now it is calle d a Safety and Sensing Technology and that's what is called as SST, right. So just a clarification there.
- Then you asked about Honeywell operating system and gold standards for the operating system. We no longer use the term Honeywell operating system. We have graduated that and enhanced a system whic h we call as Honeywell accelerator, you know, that's what is the new system that we use. And essentially what it is, is, it's a repository and a way of conducting Honeywe ll's businesses in all the countries that we do that business making sure that all the best practices are available to everybody working for Honeywell. And theref ore, by virtue of that, your Company also has access to this very valuable resource and we ab solutely leverage that. And for the Honeywell accelerator, there are no such denominations of a bronze or silver or gold, right. So, it's a new system whic h is evolving and therefore we would keep you posted as we go along. But this is something which is really exciting for us to use these best practices.
- Then, you had asked about the increased focus on pharma and life sciences, and what solutions has Honeywell got to serve this industry? Well, there are multiple solutions. First of all, we provide what is called as the solutions for safety, fire detection and fire suppression, security, et c., to this particular industry of pharma and life sciences. It is also an industry th at consumes a lot of energy. So, we have energy management solutions that we provide to this industry. These are typically batch automation industry. So , the automation that is re quired to make the perfect batches of the pharmaceutical s that they produced, we have automation for that. Then they need to maintain what are called as electronic batch records for the regulatory authorities to come and get the re sults and therefore, verify those results. Honeywell Automation has a solution that we can help them with to maintain these electronic batch records, which are tamper proof and the regulating authorities can trust those records. Then we provide them Quality Management System, in this particular industry of life sciences, pharmace uticals, quality is utmost important. And we have solutions that will serve this indu stry. And apart from that the regular field

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instrumentation, the regular distributed control systems, PLCs, all of these are part of our portfolio, right.
- And then the last question from ENAM, as ked by Mr. Shah, the gross margins are materially lower than FY20. I think many questions came in that particular theme. I would like Pulkit Goyal to take that question, please.
- Mr. Pulkit Goyal - Chief Financial Office r, Honeywell Automation India Limited:
- Sure, thanks Ashish and thanks also from my side ENAM Investments for asking that question. So, I mean, I think the basic question was to kind of know the factors which are causing this decline and let me try to dissect it into three parts. So, your Company operates in a competitive marketplace and that I wou

ld say couple of factors which really put pressure on our margins, and one of which, which Ashish had mentioned in his business update, is the mix to business. And Honeywell Automation India Limited has a mix of Proj ects, Project business, product business, solution business as well as service business . And this mix indeed plays a lot of role in, how our profitability is kind of legitimi zed. And as we are building our installed bases, which typically are falling under Proj ect business will always come at a much lower margin than what you would get in the service business and as you also called out in our investments, this becomes one very critical factor which impacts profitability directly.
- The second element or the factor, which is also connected to the mix, but it is more of, I would say, the Regional Business mix that we have. While, and that was by the way also shown in our business update sl ides, that are mix of business from international markets as well as domestic market has undergone a lot of change in last 15 to 20 years. And while on one hand, we have stabilized our exports, on the other hand, our growth in the Indian mark et in line with the GDP growth is also increasing our domestic market share. So, th is mix also plays a lot of a role in our profitability. And as you may know that ou r domestic market is more competitive than the other intern ational markets.

- And third, and the last is the inflation, which puts pressure on our input costs, especially in the last one and a half years because of geopolitical situation. Not only our supply chain has come under pressure, but also the inflation has indeed put pressure on our input cost, which goes into majority of our product businesses.
- Mr. Ashish Gaikwad · Managing Director, Honeywell Automation India Limited:
- Okay, thanks, Pulkit. That was indeed important because there are several questions on the margins there. Let's move on. I woul d like to then take some of the questions that were presented by Mr. Mahesh Bendre of LIC Mutual Funds. Thank you for those questions. Again, one question that you asked was around margins and you just heard from Pulkit about where these margins are getting impacted, Apart from that you asked, we are more known as a company that plays in oil and gas sector
which are the other sectors that we play in. Of course, you must realize that there is a large portion of your Company's portfo lio that is in building automation and

control. So, we have solutions that have go ne into all airports, metro stations, smart cities, hospitals, malls, you name it commercial buildings. So, there is a large sector, which let's call it as the buil dings or infrastructure sector. We are definitely just now talked about the pharma and life sciences. Apa rt from that, we also have our play in the speciality chemicals, bulk chemicals, etc. We also participate in the automation of Giga factories which are coming up, you know, the battery manufacturing factories or the PV solar cell manufacturing factories. Pulp and paper is another area where we play. Minerals, metals, mining, these are other sectors that we play in. Power generation industry again, where we play in. So, it's not just oil and gas, it is many other sectors. But since you asked about the oil and gas share, we normally don't disclose that and it's not constant because we look at the opportunities and not just the sectors. And since the portfolio is generically applicable to many multiple sectors, we go where the opportunities take us.
- Then you also had mentioned about creati ng more transparency and the analyst meet, the request that has come from other share owners as well. We certainly will take it back, you know, mull over that point, understand where we are not, sharing with you enough. I'm sure you know, there is more that we can do and that's what is your feedback. So, we will come back to you on that.
- Moving on

from there to our next sharehol der, I think Mr. Himanshu, thank you, sir, for asking all the specific questions. I will try to cover th ose which I have not already answered, because there are some repeated questions as well. What are the top three priorities for senior management fo r FY 24-25? That's a good question and I would say at a high level, as I mentioned, which probably you also commented upon, that safety is something that is really at the top of our priority always, because of the nature of our business. We work at hazardous places, and therefore, safety is our number one, number two, number three prio rity, if you will. But of course, apart
from that, we are focused on organic profitable growth that is always on the top of the mind. And how do we do all round busin ess performance, not just in one sector,
but leveraging the growth vectors that I ment ioned earlier, which is on infrastructure development, manufacturing push, which is coming in India, the industrial digitalization where we have good solutions, and also the energy transition, which is happening. So, these are some of the priorities for us.
- The second question that you had asked was, what initiatives are we taking, to gain more market share in the business we represent? Okay. Well, I guess, we talked about the growth vectors. Now we convert th at growth vector study that we do into
a strategic plan for which look s at opportunities for over next three to five years. And then that is the strategic plan that we co nvert into actions that will drive specific projects in the growth vectors that we talked about. And the last point I want to mention here, what are we doing to gain more and more is about the talent attraction and talent management skills th at are relevant skills and competencies that will take us to the new future and I think that's what we will be focused on.
- Then you asked about the question on our revenues were crossed, have crossed the previous peak, but the margins are still nearly 3%. I think Pulkit sufficiently answered

that question in my opinion. He talked abou t the mix that plays a strong role there. We are also participating in the Indian economy where the domestic growth is coming in. We have to leverage that growth so that we can create the installed base and then in the medium to long term we can go and serve our customers on that installed base.
- Then you asked a question, which is about the new orders from non-Honeywell customers is a smaller number, twelve pe rcent you mentioned, which seems to be

quite muted and with respect to that, what h a v e w e s e e n f o r s o m e o t h e r c a p i t a l goods companies, how should we understand it? Well, I think, again, to be completely transparent with all of you, ther e will be opportunities that will come up. It's easy to grow, if you don't look at the balance between the top line revenue and the bottom-line profits. And I think we have to do that balance, it's a very delicate balance most of the times, and we will do proper selection of such capital goods, opportunities, new capacities getting built, or new infrastructure coming in, and weigh our options, and then select those properly for your Company so that when we execute those projects, we are not stuck, or we are, you know, giving the right results to you as the share owners. So, I think that's the philosophy of balancing with careful selection of such opportunities, which is what we do. And so, therefore, you will not see us wanting to go completely reckless on that.

- The other one that you asked about is we are seeing many competitors coming in the space of automation and sensing to win in this market, how important is to have the in-house manufacturing? Well, as you know, your Company already has a fairly significant factory near Pune, at a place called Fulgaon, and we have steadily increased the production in that factory, yo u can see that

. Also, we will continue to explore opportunities if they come in the fu ture. And the philosophy for us is that as much as we can manufacture logically in terms of the commercial viability, supply chain, all of that, we will always look at that option and we will continue to do that. And it is important to your question, that if we manufacture it here, it can give us a certain advantage in the marketplace, right. So therefore, we will evaluate those options.

- The other question that you had asked was, are we balancing growth with margins? I think I already covered that sufficiently in the previous answer that I gave. There are two more questions that you asked which I wo uld like to take help of my colleague Pulkit. Pulkit, would you like to answer the question around the credit loss allowances?
- Mr. Pulkit Goyal - Chief Financial Office r, Honeywell Automation India Limited:
- Sure. So, thanks, Ashish, and thanks Mr. Upadhyay for that question. I think if I remember the question was on the ECL or Expected Credit Allowance, I mean, how it has increased and this increase is quite signif icant in the last fiscal year 23 and what are the reasons for it? Let me take couple of steps back to kind of let you know how this expected credit loss reserve is crea ted in the books it's done as per Indian accounting standards. And it is computed based on the provision matrix, which is
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basis on our judgment conceding also the past experiences. While the reserve has indeed gone up as you rightly pointed out, however, I would also like to mention that our accounts receivable itself has go ne up significantly fr om around 670 crores a year before to 940 crores as of 31st Marc h 2023. As Ashish had mentioned, a few minutes ago, we had the record turnover in the last fiscal year. So, from our perspective, it is in line with the accounting standard and also the growth that we have seen.
- Mr. Ashish Gaikwad · Managing Director, Honeywell Automation India Limited:
- Okay, excellent. I think we have covered most of the questions, Mr. Himanshu that you asked. And, again, take the note of your comment around the time that we spent on the CSR safety versus the business, we will try and do more the next time.
- Mr. Pulkit Goyal - Chief Financial Office r, Honeywell Automation India Limited:
- And Ashish you can add to what you just sa id, and we take of course, those feedback quite seriously and they are important for us. In addition to, working on your feedback Mr. Upadhyay I would also like to once again call out that we have a dedicated email account that is sale.inv estorservices@honeywell.com and if you have any questions around our financial performance, please write to us and we respond as per our turnaround time. Back to you Ashish.
- Mr. Ashish Gaikwad · Managing Director, Honeywell Automation India Limited:
- Thanks, Pulkit. Then this is the last set of questions that that I had noted down, this was from Mr. Rahul Modi and he's the repr esentative from Nippon India. Thank you for your questions, Rahul. I think some of them we probably have already answered. So, I'm going to just skim over them. How is the outlook of exports business for both product supply and especially the services category and are we seeing any slowdown given the global growth being impacted? Well, again, I don't want to be overly speculative about it. We all know about the global economy the way it is going right now. And our exports business comes from that global economy or the countries that participate. It depends also, on various types of capital goods, projects, that are, one in different parts of the world. We rema in cautiously optimistic about it. And we will continue to make that healthy mix and bring that healthy mix so that we do the best that we can. And so, I don't think we w ill be able to give you an exact number or any growth rate that you were looking for. But having a diverse mix, even withi

n the
exports can help because not all countries are, you know, facing headwinds. Some countries are facing headwinds, some count ries may be doing well. So having a mix of, you know, possibility to give services to these different countries can give you a hedge in that respect as well.
- The second question that you asked was, how is the outlook of exports business?
Sorry, that was already done. How has the performance been over the few years and expected in the next few years, in terms of diversification of end user industries,
especially in healthcare sector, and which new sector is seeing good growth, etc.?
Okay, I think I already covered some of that I talked about pharma, etc., etc. so, I'm

not going to repeat that it's not just oil and gas, once again, I want to emphasize.
Coming back to specif ically healthcare sector, in the healthcare sector, our play is into mainly the sensors that go into me dical equipment, and that's what your Company has in the portfolio. And to the exte nt that that market grows, we will be able to serve that market, but it's a smallis h sort of part of the overall business at Honeywell Automation India.
- Then your question was, how is the se miconductor, and the supply chain issues holding up in the current situation? Well, I think we have you seen a tremendous improvement in supply chain in general, I think the constraints are easing. And we see, you know, we coming back to a little bit of wh at was called as normal su p ply chain, not yet there, I must say, but the tr ends are really positive and we are getting there. So, we don't see, too much of a co ncern, I would say, because of the trends that you've seen in the historical supplies that we are getting.
- Then you asked about, do we expect margin recovery, etc.? We have again, talked a lot about that. So, no need to answer th at repeatedly. And then the last question was, how has the competition been across the segment, segment of strength and is there any pricing pressure seei ng that is due? Okay, it's, I think it basically means do we see any pricing pressure? Well, India is a competitive marketplace and many international and domestic players play in th at. So, there is a fair bit of competition in the market and we frankly want th at competition, because through that competition, the best comes out. And we ce rtainly believe that we will do our best so that we are able to withstand that type of a competition, we are able to participate in this market. It is growing as we know, and it will also keep us on our toes so that we continue to innovate an d continue to make sure that for your Company, we try and bring a healthy business going forward.
- So, I think these are the questions that we re submitted by some of you. I'm sure there are more questions that you may have in your mind. Pulkit has already pointed you to an email, you could send emails on that ID, and we will do our best to communicate the answers to you.
- With that, thank you very much, once ag ain, all the shareholders, we really appreciate your constr uctive feedback, also your criticism, and your praise, and we will try to do our best, continue to do ou r best to make your Company go forward.
And I'll hand it back over to Mr. Chairman.
- Dr. Ganesh Natarajan – Independent Director & Non-Executive Chairman, Honeywell Automation India Limited:
- Thank you, Ashish and thank you Pulkit. I th ink that was a very comprehensive set of responses to all the queries raised to this fo rum. I just like to add that today, if you look at the two mega trends in the world, we all know that it is ongoing digital transformation, which as Ashish said, wa s accelerated during COVID and continues to sustain to this day. And the second of co urse, is sustainability. And I think what you've heard is a global company, Hone ywell, and our own company, Honeywell Automation India Limited, which has the pr oducts, the ser

vices, the capabilities to

really lead in these. So, I think I'm person ally really excited ab out the opportunities for India, both in digital as well as in sustainability. We all know, the tremendous success of Digital India. And of course, sustaina bility is an area we have just started. But that will again open up tremendous oppo rtunities. So, I'm sure with your support Honeywell Automation India Limited, will cont inue to do well and gain strength to strength.
- I now authorize Ms. Indu Daryani, the Co mpany Secretary to conduct the voting procedure and conclude this meeting. I fu rther authorize the Company Secretary to accept, acknowledge and countersign the scrutinizers report and declare the consolidated voting results on receipt of this scrutinizer report. As I mentioned to you earlier, the e-voting facilities available during this meeting will remain open for the next 15 minutes to enable the members to cast their votes. The results will be

announced within the stipulated timelines and shared with the stock exchanges and uploaded on the websites of the Company and NSDL.
- I thank all shareholders for attending this meeting and for your continued support. With your consent, myself and the ot her board members and the management would like to take your leave. Than k you very much for being with us.
- Count Down Timer from 15 mins – 0 mins
- Ms. Indu Daryani – Company Secretary, Honeywell Automation India Limited:
- Evoting was kept open for 15 minutes as mentioned by the Chairman. We now close the Evoting. The requisite quorum was present throughout the Meeting. Voting results of the Annual General Meeting will be announced by the Company within the stipulated timelines and shared with the Stock Exchanges and uploaded on the websites of the Company and NSDL.
- With this I declare the Meeting as conclu ded. Thankyou for attending the Meeting.

END OF TRANSCRIPT

Call: Aug 2024

1 40th Annual General Meeting of Honeywell Automation India Limited
Held on August 5, 2024

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Dear shareholders , good afternoon. I'm Dr. Ganesh Natarajan, Independent Director and Non-Executive Chairman of the Board and Chairman of the Audit Committee. I'm attending this meeting through video conference from Pune. I welcome and thank you all for joining the 40th Annual General Meeting of our C ompany. This Annual General Meeting is being held through video conference in compliance with the applicable provisions of the Companies Act , 2013 and the SEBI Listing Regulations.

- The Company Secretary informs me that the members present form the necessary quorum and the meeting is properly constituted , I therefore call the meeting to order .

- Before I proceed further , I would like to invite all the Directors who have joined this meeting through video conference to introduce themselves and also confirm the location from where they are attending this meeting.

- I would now request the Directors to introduce themselves .

- Ms. Neera Saggi .

- Ms. Neera Saggi - Independent Director, Honeywell Automation India Limited:

- I'm Neera Saggi, Independent Director and Chairperson of the Nomination and Remuneration Committee. I'm attending this meeting through video conferencing from Pune. Thank you.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, N eera.

- Mr. Ashish Modi .

- Mr. Ashish Modi - Non-Executive Director, Honeywell Automation India Limited:

- Good afternoon. I'm Ashish Modi , Non-Executive Director and Chairman of the Stakeholders Relationship Committee. I'm attending this meeting through video conference from Pune. Thank you.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Ashish.

- Mr. Brian Rudick .

2 - Mr. Brian Rudick - Non-Executive Director, Honeywell Automation India Limited:

- Afternoon. I'm Brian Rudick, Non- Executive Director of the company. I'm attending this meeting through video conference from Pune. Thank you.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Brian .

- Mr. Thaj Mathew .

- Mr. Thaj Mathew - Non-Executive Director, Honeywell Automation India Limited:

- I am Thaj Mathew , Non-Executive Director of the company. I'm attending this meeting through video conference from Pune. Thank you.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Th aj.

- With me present here are –

• Mr. Atul Pai , Managing Director and Chairman of the Corporate Social Responsibility Committee and the Risk Management Committee.
• Mr. Pulkit Goyal , Chief Financial Officer of the C ompany .
• Ms. Indu Daryani , Company Secretary .

- I also welcome –
• The representatives of our Statutory Auditors - Deloitte Haskins & S ells LLP .
• The Secretarial Auditors - J.B. Bhave & Co., Company Secretaries .
• Internal Audit Head and
• Scrutinize rs for the AGM.

who have joined this meeting through video conference from their respective offices or residents.

- Also, on behalf of the Board, I would like to place on record the appreciation of the valuable contribution made by Mr. Ashish G aikwad, Managing Director of the company , during his tenure with the company .

- I hereby request the Company Secretary to familiarize you with some of the general instructions as regard participation and Evoting at this meeting.

- Ms. Indu Daryani - Company Secretary, Honeywell Automation India Limited:

- Thank you, Sir .

3 - Good afternoon all and welcome to the 40th Annual General Meeting of Honey well Automation India L

imited. This meeting is being conducted virtually without presence of members in person in accordance with the applicable provisions of the Companies Act , 2013 and the SEBI Listing Regulations .

- Please note that the requirement of appointment of proxies is , therefore, not applicable.

- Electronic copies of the R egister of Directors and Key Manager ial Person and their shareholding as maintained under Section 170 of the Companies Act , 2013; the Register of Contracts or A rrangements in which the directors are interested as maintained under Section 189 of the Companies Act , 2013; and other relevant doc uments referred to in the notice of this Annual General Meeting have been made available for inspection by members during the meeting.

- Further, there would not be any proposing and seconding of the resolutions.

- Ms. Amruta Rajar shi of M/s. Bokil Punde & Associates, Company Secretaries , has been appointed as scrutinizer for the remote Evoting and Evoting to be conducted at the AGM.

- While most of you are aware on participation and Evoting process at the Annual General Meetings through video conference, I would like to briefly explain the technical aspects.

• The facility to join this meeting is made available to the members on first come first serve basis .
• All members who have joined this meeting are by default kept on mute and their videos are turned off by the host to avoid any disturbance.
• Once the Q&A session begins, the Chairman will sequentially announce name of registered speaker shareholders .
• When the Chairman calls out the name of the speaker shareholder , microphone facility for the speaker will be unmuted by the host.
• The speaker shareholder is requested to turn on their video and start speaking after mentioning their name and joining

location.
• If the speaker shareholder is unable to turn on the video for any reason, they may continue speaking through audio mode.
• If there is any connectivity problem at the speaker's end, we will move to the next speaker shareholder . The earlier speaker will be requested to speak after other pre - registered speakers complete their turn.
• We request the speaker shareholders to be brief and specific to the business of the meeting and to limit their speech to 3 minutes .
• In case any of the questions get answered during the course of the presentation by the company , you are requested to please exclude asking these again.
• Members of the company as on the cutoff date of Monday, July 29
th have been given
opportunity to cast their vote by way of remote Evoting.
• The remote Evoting period commenced on Thursday, August 1 , 2024 at 9 a.m. IST and ended on Sunday, August 4 , 2024 at 5 p.m. IST.
• Members who have not cast their vote by remote Evoting can cast the vote at the meeting.
• The Evoting window is open during the meeting and will also be available for another 15 minutes towards the end of the meeting.
4 • Members who have cast their vote during the remote Evoting period can participate at the meeting but cannot vote again.

- I now request Dr. Ganesh to take forward proceedings of the meeting.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Indu.

- Since the notice convening the Annual General Meeting has been circulated to the shareholders , I take the same as received and read.

- The Statutory Auditors of the company - Deloitte Haskins & Sells LLP and the Secretarial Auditors of the company – Jayavant B. Bhave of J.B. Bhave & Co., Company Secretaries have submitted their respective reports for the financial year ended 31st March 2024. There are no qualifications , reservations or adverse remarks in their respective reports.

- The Annual Report of the C ompany has been published and is available on the respective websites of the Bombay Stock Exchange Limite

d, the National Stock Exchange of India
Limited , NSDL and the company . I take these reports as read.

- The last fiscal year brought a mix of opportunities and challenges for India. Despite global uncertainties, the country showcased remarkable resilience as the fastest growing major economy worldwide. India's GDP expanded by 8.2% in FY2023 -24, surpassing the previous year's growth . Projections for FY2024- 25 indicate a GDP growth of 6.5 %-7%. The Indian government's strategic investments and policy interventions are bolstering key sectors ensuring sustained long- term growth. The Indian economy's robust fundamentals continue to support its growth trajectory and your Company has also benefited from these leading to a good financial performance. Our journey embodies resilience, innovation and an unwavering commitment to excellence.

- The company's business is well aligned with the mega trend of automation underpinned by digitalization and sustainability. Your C ompany is dedicated to playing a lead role in
the country's transformation to a sustainable future which is also exhibited in our commitment to achieving carbon neutrality across all its facilities and operations b y 2035 . Digital transformation also remains at the front and center of the strategic priorities of the company leveraging its expertise in process control, cybersecurity and managing performance to optimize operations, enhance remote visibility and drive safety, reliability and efficiency.

- The company has Honeywell Accelerator as its operating system for governing and managing our businesses which contains all the best practices, tools and digital platforms
to deliver best -in-class performance and enhance the way we manage, govern and operate our business day to day.

- The company's corporate social responsibility initiatives, environmental efforts and ethical corporate governance are centered on fulfilling its environmental, social and governance (ESG) responsibilities. Significant contributions have been made in providing sustainable 5 solutions in healthcare, education, rural infrastructure and community development with a commitment to further impact people, families and communities served .

- The company's ongoing investments in state -of-the-art facilities , leading technologies and skilled personnel enable the delivery of superior products , projects and services that meet quality standards and exceed customer expectations.

- I now request Mr. Atul Pai, Managing Director, to present the company's operations and performance for FY 2023 -24.

- Mr. Atul Pai – Managing Director, Honeywell Automation India Limited:

- Thank you, Dr. Ganesh .

- At the outset, I would like to thank the Board and all the stakeholders for choosing me to lead this fantastic company.

- I would also take the opportunity to thank and congratulate Ashish G aikwad for setting a strong legacy of outperformance and a platform to fuel growth in the years to come.

- I'm particularly excited with our company's strategic priorities and the country's mega trends of energy transition, urbanization, infrastructure development, safety, security and efficiency all underpinned by automation and digitalization across the asset class.

- I started nearly 23 years ago in this company and had the privilege of taking multiple roles across Honeywell Group globally. I'm confident that our collective effort with the help of sustainable growth on the backbone of Honeywell Accelerator framework and the superlative talent base.

- I take this opportunity to briefly present last year's financial performance. Can we move to the next slide, please?

- So, Honeywell Automation India L imited 's strategic priorities are broadly driving and focusing on organic growth, automation in Asset ef ficiency and energy transition and that's enabled by capitalizing on the digital trends of software and digitization that's happening across the industry.

- Can we move to the next slide, please?

- We start our meeting with safety, which is a core part of our behavior and culture. We have our safety commitment to all our key stakeholders, employees, customers, contractors and overall, our society from an Environment, Health a nd Safety perspective . We measure our safety performance on a common balance score card. And as you can see, we have consistently exceeded the target of 1.8 on a balance scorecard basis scoring around 1.9 and we will strive to score a perfect 2 in the near future.

- We have been recognized by our key customers across the industry for our safe performance at customer sites , in some cases which are very hazardous. Some of the pictures that you see are broader participation of our employee base in our safety , our 6 Environment Day and other campaigns that are overall keeping our safety performance up to scale.

- Moving on to the next slide. We are equally proud of our Corporate Social Responsibility obligation that we have been focusing on . Amongst the Sustainable Development Goals , there are three key goals that we have decided to focus on over the past many years . Holistic Rural Development including Community Development, Education, Skill and Research largely focusing around girls education in science and E nvironmental with respect to planting trees as our ‘Plant our Future ’ campaign. Overall, we have spent around ■11 crores in this impactful initiative meeting our social responsibility goals.

- Moving on to the next slide, please. H AIL continues to be recognized across the industry for multiple initiatives. We were recognized in 2023 by the Bhubaneswar Smart City Corporation for our work in the Bhubaneswar Smart City P roject. We were also recognized for our manufacturing excellence amongst U.S. companies in India. We were recognized by Microsoft for safe execution on some of the data center sites. And lastly but most importantly, our F inance team were recognized for their transformation work that is being done in finance from a leadership perspective.

- Moving on to the next slide, I would love to give some business updates for FY 23-24. The key economic indicators that we track as a measure to assess overall economic environment , I will give a quick perspective on that with respect to Honeywell's FY 23-24 performance.

• As we have seen, the GDP has been in the high single digit between 8.7 % from 2021 to around 6.7 %. The range is in the similar range as we see. We have always maintained that . Our aspiration is to grow 2 X the GDP. Historically, we have grown 1.5X the GDP .
• The Fiscal Deficit is an important factor which basically, you know, helps us to measure the commitment that the government would be making for investments in infrastructure, urbanization which is basically leading to capital good industry, which is what we participated.
• Inflation, again, is an important element because it has a direct impact on our pricing and our costs to a large extent given the fact that most of our cost is also in foreign exchange.
• The PMI is a good indicator for us where we are able to measure the capital goods in private sector for the past many years and that's generally been positive in the near past.
• And the price of the oil while is an indicator, it helps us and sometimes as a headwind. If higher price of oil, would reflect lower refining margins but would also reflect a steady price. That would be the investment in Oil & Gas . At the same time, we also know that being an oil dependent economy higher price would increase fiscal deficit and thereby reduce government spending on some of the social or infrastructural investments that they do. So , Oil price does impact us both positively and negatively .

- Overall , the strong GDP expansion will continue to support our growth.

- Moving on to the nex

t slide. I'm particularly proud to explain some of the key wins and these wins are both in terms of our core offerings for the past many years as well as
offerings in new industries where a lot of investment dollars or rupees are being spent.
7
• We are proud to announce that we successfully implemented an automation solution in an indigenously built Green Hydrogen plant. We see a lot of investment happening in airport modernization.
• We were proud to announce that we deployed a Honeywell Advanced Visual Guidance Docking System at a leading airport in India.
• Renewable energy is an important element of our sustainability solutions. Renewable energy is possible only if you have a good load management and battery energy storage system to ensure that there is energy available when the conventional source of energy is not available. We deployed this project at Lakshadweep that was inaugurated by our honorable Prime Minister.
• Most recently, we w on an Integrated Building Management S ystem for safety, security and access control for the new generation Giga factory manufacturing, Lithium -ion batteries in the country.
• The upgradation of distributed control systems at the thermal plant is an important element of our core business platform and offering that we have been successful in the past .
• And lastly and most importantly, we also won an implementing a Building Management System for the upcoming Pharma growth in the country with respect to Life Scienc es for a leading Life Scie nce manufacturer.

- So, overall, the portfolio of the wins reflects a good pivot towards automation in emerging industries where investments are coming in.

- Moving on to the next slide. For FY2023- 24, our financial performance . We recorded a revenue of more than ■4000 crores, ■4582 crores to be precise , which reflects 18% growth year-on-year. The Profit After Tax was a 14% growth year -on-year and the Net Worth increased by 13% year -on-year. The cashflow from operations grew 5% year -on-year. Our target is to generally cover 100% of profit into cash. This year we converted 80% of profit into cash , the remaining 20% getting deployed into working capital to fund or ganic growth.

- Next slide , please . Based on the strong financial performance, the company continues to improve its dividend per share and the dividend payout ratio. The final dividend of ■ 100 per equity share was recommended by the Board of Director s for FY23-24 which in the previous years was ■ 95. Consistently improving the dividend payout is a goal that we will continue to achieve supported by the strong financial results.

- Moving on to the next slide. As explained, our goal is to target 2 X the GDP for revenue growth. We will acknowledge that over the past whatever two decades, our growth has been around 11.5% which is approximately 1.5X the GDP at that time. With the domestic industry growing faster , in the near term we are pretty confident that we will be achieving towards the 2 X GDP growth target. There have always been questions around the revenue mix and our revenue mix with respect to both domestic and exports . Both are growing. While the mix would change depending upon whether we are winning in the domestic markets or whether the export markets for that matter. As we also know, the domestic markets have got sometimes big projects and that growth may not necessarily always be linear . To the extent of service, t he growth is linear. Our growth in our export market for the same corresponding period has been 16% and our growth in our domestic market over the corresponding period has been 10%. Basically , both are growing faster than the GDP rate.
8
- Can you move on to the next slide, please? While we continue to grow, we also are mindful that our profit needs to exceed our growth rates. Our growth rates were at 11% but our profit growth was at 15% . And to ensure that the prof

it is converted into cash, our cash
performance has been in the range of 75% of Net Profi t and the balance profit getting into working capital to fund the growth that we have seen. Most of the working capital is required for large domestic projects where those projects run into multi years . Overall,
there is sustained growth in profit and cashflow from operations over the past many years.

- Moving on to the next slide. While we will pivot to the questions that the shareholders would have to ask ; and I do thank you for submitting them in advance ; I would particularly like to talk about a section of questions that are very common across the shareholder base which is the Honeywell growth strategy .

- If we can go to the next slide.

• So, the Honeywell Automation India's growth strategy is aligned to the portfolio of Honeywell with respect to automation, which is the mega trend, which is part of the industrial and the building automation S BGs of Global Honeywell.
• The HAIL portfolio consists of System Integration in Process and Building Solution plus distribution of specific Building Management Systems and specific Sensing Solution Systems . All of this has been regularly updated as a part of our Management Disclosure and Analysis which is part of the Annual General Report that is submitted.
• The geographic coverage for Honeywell Automation India is India as a geography and exports to Honeywell subsidiaries worldwide. Our growth strategy is particularly around creating an install base of an asset class so that we get lifecycle value for annuity plus all organic growth initiatives associated with such install base .
• The Aerospace technologies and the E nergy and S ustainability solutions , which are the molecular piece of energy transition, are separate portfolios of Honeywell Inc .

- Overall, the Honeywell Automation India Limited has a very focused portfolio aligned to the India automation mega trend.

- With this , I thank you and hand over to the Chairman.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Atul, for the presentation.

- I would now like to open the floor for members who have registered themselves as speakers to pose their questions. We would request speaker shareholders to keep their
questions brief and specific to the business of the meeting and to limit their speech up to 3 minutes.

- Can we start with Mr. Jonas Bhutta, r epresentative of Aditya Birla Mutual Fund, please.

- Moderator :

- Mr. Jonas , you are unmuted. Please turn on your video and ask your question.
9
- Mr. Jonas Bhutta – Shareholder :

- Hi, gentlemen, and thank you for the opportunity . At the outset , I just want to congratulate the management team of HAIL on the wonderful illustrations that you've given this time around in the Annual Report that better helps understand the various business and applications that the company has and that's a welcome change. I'll j ump directly to the question. So, first on the domestic side, you know, while Oil & Gas has historically been a major end market for the company, can you please elaborate on other segments where the company has a dominant Market Share? For the last three annual reports we've noticed Life Science is one such example. Would appreciate if we can sort of delve a little bit more in our Q&A session on segments such as Steel, Cement and Renewable Power because these are segments that we believe are going to see very strong growth in terms of capital expenditure and how is HAIL sort of position ed there in terms of either market share or offerings . Any clarity on that would help.

- The other bit on the domestic side was that, you know, one thing that is missing in terms of mention is data centers as an end market. You know, while many other capital, good companies seem to be highlighting this as a mega

trend, would want to hear views of the
management team as to how is HAIL positioned here in this end market.

- As far as exports is concerned, growth rates in exports have been declining for the past five years. The share of exports has declined from 44% of sales in FY20 to roughly 40% in the last financial year. So, can you please highlight the reasons for the same and provide a general outlook individually for the services bit and the contract manufacturing bit ?

- The other question on exports was , we noticed that the related party sales transactions with Middle Eastern subsidiaries of the Group have increased in FY 24. If you can touch upon whether this is reflective of the ongoing CapEx in the Middle East, particularly Saudi Arabia? And given that that CapEx is likely to continue for the next few years , will this be captured in the listed entity in HAIL or is there any other group entity in the region that sort of tends to capture this opportunity?

- The last bit of my questions are on financials of the company. So , I would appreciate if you can share the localization levels achieved by HAIL over the past five years. What a re the few initiatives, if you can sort of anecdotally let us know in terms of localization, in terms of capability or products ?

- The second bit on financials was, would really appreciate if we mention what our orderbook is. Last two annual reports at least mention the growth rates in annual reports while not mentioning the absolute amount, this annual report makes no such mention. You know, this is like a guiding light for outsiders like us , who sort of , can then at least know what the likely growth rates is we can ass ume in sales over the next 12 months depending on the orderbook growth. So , that would probably be appreciated if we can share that.

- And, lastly, the company reported its Q 1 results just today and there was an adjustment of roughly 65 crores that was mentioned in the notes to accounts. So, if Pulkit can sort of give some more granular details what led to that change in accounting and what is the likely implication of that .

10 - Yeah, I'll stop here for me and get the answers from the management. Thanks.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Mr. Bhutta. Can I now move to Mr. Bhalchandra Shinde, representing K otak Mahindra Life Insurance, please?

- Moderator :

- Mr. Bhalchandra Shinde, you are unmuted. Please turn on your video and ask your questions.

- Mr. Bhalchandra Shinde – Shareholder :

- Yeah. Good Eveni ng, Sir. Sir, regarding external orderbook wise, would like to know what kind of a growth YoY basis wise we are seeing? And on the margins front also, relatively our margins have been volatile over the last 2 -3 years . Before COVID our margins were stable and improving significantly but post COVID our margins have always been lower. Is it largely because of the project -product mix wise? And we had one large order in Bengaluru, was it because of that order execution which was impacting our profitability ? And how much we are yet to execute that order and what kind of a mix we see year onwards also on the project to product mix ?

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Mr. Shinde. Can I move to Mr. Sagar Gandhi, representative of the Inves co Mutual Fund?

- Moderator :

- Mr. Gandhi, you are unmuted. Please turn on your video and ask your question.

- Mr. Sagar Gandhi – Shareholder :

- Yeah, am I audible? Hi.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Yes, you are.

- Mr. Sagar Gandhi – Shareholder :

- Yeah. Good afternoon , gentlemen. So , my question pertains to our disclosures in the Annual Report . So, we seg

ment our revenue into three broad areas. First is manufactured goods, second is traded products and third is sales of services. So , while we've seen that the share of traded products have gone up from 12.5% of top line to around 19% of top line in …I mean, 12% in FY17 to 19% in FY 24, how do we see this mix changing? Or why 11 is it that proportion of traded goods have subsequently moved up year after year impacting our margins? So, how is this mix likely to change over the next few years? And because this increase in traded goods is coming at the cost of manufacturing this thing, s o how do we see our manufacturing activity changing over the next few years? Because our peers in the capital goods space is seeing a lot of activity on the Make -In-India manufacturing side, so how are we placed here? And what is our utilization level s here? And are we also seeing heightened activity like other peers? And do we envisage any CapEx in this side over the next two years?

- Sir, my next is, your parents H oney well International Inc. aspires to make margins in the range of 25% , so does it come at the cost of global subsidiaries ? Or internally also we have some good operating EBITDA margin targets because over the last four years, especially from …I mean, over the last six years our EBITDA margins have been in the range of 16%-16.5% only. So, I mean, do we also intend to go into 20 plus territory like our parent?

- Third is , Sir, if you can highlight some growth areas on the new renewable space and the areas that I've already mentioned, for example, H ydrogen , EVs, Data Centers. What specific solutions you have vis-à-vis competition and how are you differentiated from the competition? And what is the parent support that you are getting on this side? Which new products parents is helping you on this side?

- Yeah, that is it. Thank you, Sir.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Mr. Gandhi. And can we move to Mr. Aniket Mittal, please, representative of the SBI Large and M idcap Fund?

- Moderator :

- Mr. Mittal, y ou are unmuted. Please turn on your video and ask your question.

- Mr. Aniket Mittal – Shareholder :

- Yes. Thank you for the opportunity and good evening to the management , Board of Directors and fellow shareholders. I'll just read out my questions now. Firstly , Sir, on the market if you could help us understand what is the market size for process automation and building automation in India? And more importantly, how do you see this market growing over the next 3 -5 years and which are the key drivers for the group?

- In terms of the existing market if you could also briefly mention the market share that the Honey well has within process automation, building automation and how has those market share moved over the past three years .

- Within the market , could you also provide some understanding on the competition intensity? If we look at the FY24 numbers, our overall order growth was 11%, which seems slightly lower than the other listed automation peers. So, if you could talk about the competition intensity in the market currently happening.

- Within the major segments that we are present , if you could provide a broad breakup of revenues between process solutions, building solutions, building management systems and advances in technologies then that would be very helpful. Also, if you could just talk about the mix change that these individual subsegments would have seen .

- Exports form about 40% of our revenue, which has actually seen a decline from about 45% a few year s back. I just wanted to understand are there any constraints that we're seeing in terms of capacity of people to cater to our export markets ? And, accordingly , to manage that are we looking at any expansion plans?

- If you could also talk about

on the export market which are the key products and services that we currently export , what products are manufactured by us locally a nd are there incrementally any new products that we plan to manufacture.

- If you could very briefly also talk about the sourcing policy that we have with our parent . Which are the key raw materials and finished goods that we purchase? And how do we look at that going forward?

- Sir, what are the current orders that we have in hand? And if you could provide a brief inkling in terms of our orderbook and how that has moved over the past three years?

- Also, with respect to the orders, if you could also highlight the brief execution cycle that we have within process automation and building automation and how does one look at it and how does it vary between these two segments .

- Lastly, Sir , on the EBITDA margins front we've seen EBITDA margins, you know, go down fairly significantly from FY 20 and FY 21 levels. If you could provide more details on what do you attribute this margin decline to? And in your view, from a medium to long term perspective, what could be the sustainable EBITDA margins for the company?

- On the corporate over head allocations, we've seen a sharp drop in those expenses for this year , which we see it as a proxy of the royalty fees that you put. Typically , they've come down to about 2.9% versus the average last 10 years of about 3.7%. So, if you could provide certain explanation on this.

- And lastly , Sir, on the capital expenditure par t if you could provide what is the CapEx plans over the next three years from FY 25 to FY27. And which areas would you look to invest?

- Thank you. Those we re my questions.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you, Mr. Mittal. Can we move to Mr. Pratik Singh, please, r epresentative of the Helios Capital Management ?

- Moderator :

- Mr. Pratik , you are unmuted. Kindly ask your question.
13
- Mr. Pratik Singh - Shareholder:

- Ya, am I audible?

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Yes.

- Mr. Pratik Singh - Shareholder:

- Good evening Sir. Thank you for the opportunity . While most of my questions have got covered in the previous, by the previous participants, I will just be specific to one question. This is regarding certain upcoming segments like Data Centers , railways and defense which present a huge opportunity in India. So just wanted to know, how does HAIL plan to go through these segments in terms of product launches or any strategic initiatives across these 3- 4 segments? That would be it. Thank you.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you Pratik. Can we move to Mr. Himanshu Upadhyay please?

- Moderator:

- Mr. Upadhyay, you are unmuted . Please turn on your video and ask your question.

- Mr. Himanshu Upadhyay – Shareholder:

- Hello? Am I audible?

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Yes.

- Mr. Himanshu Upadhyay – Shareholder:

- Ya, so I have sent a list of questions but I will read it. As an outsider, what can be the data points to track and understand how well Honeywell Automation India is doing besides the financial books and we don't get anything besides P&L. How can we better understand and track the company? What percentage of revenue for us would be from products introduced in the last 5 years and how do you track the innovation, what we talk about in the AGM and how is it happening? Some thoughts on that. Can you provide s ome color on how has the business dynamics and customer requirements changed in the last 5 years and how are we adopting to these changes which are happening in the marketplace? 4
th,
what per

centage of our revenue would be recurring in nature and one time sales for us? How has this evolved over the years? And our both recurring business and one time project business moving in line or you are finding one moving ahead of the other? What 14 are the 3 risks as an investor we need to understand while evaluating Honeywell Automation? And the last one, what is the nature of sales of services? And is it from maintenance and service contracts only? If no, then what percentage of it would be from maintenance and service contracts and also what would be the reason for it to fall in FY24, when products revenue and those have increased? These are some of my queries.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Thank you very much Mr. Upadhyay. Thank you shareholders for your participation. I now request Mr. Atul Pai and Mr. Pulkit Goyal to answer these queries please.

- Mr. Atul Pai – Managing Director, Honeywell Automation India Limited:

- Thank you Chairman. Thank you shareholders for first of all submitting the questions in advance. It gives us an opportunity to better be prepared and at the same time sticking to
the same question so that we do not have anything new here. So thank you very much.
How we intend to do is, we got all the questions covered. I will cover all the business questions first and then I will hand it over to my colleague Pulkit to cover all financial
related questions.

- So the 1
st question, set of questions are around our offerings with respect to what were the offerings in our so called traditional base, oil and gas and how are we pivoting to the new markets? I think I did try to cover that in the pictorial representation of the key wins. So we continue to be a leading player in the entire hydrocarbon value chain from upstream, downstream, refining and distribution from a system integration perspective. We are also present in other verticals such as metals, power, as we have seen in the past. Specifically with respect to steel, cement, we all know that there are investments happening with respect to carbon capture because these industries have a very large carbon footprint for that matter. Anything to do with automation i n these technologies which is required from a system integration perspective and subsequent life cycle value from annuity , would be something that we would pursue over in these industries. With respect to the new industries especially renewable and power , or for that matter in a compressed biogas , for example, we as Honeywell Automation India Ltd., in both those investments capital cycle would participate from an automation perspective. For example, we would have load balancing offering or battery energy storage systems which is a large system inte gration to ensure that both renewable power and conventional power are provided in a very synchronized manner. The automation required for carbon capture is also an offering that we have as a part of our portfolios. A lot of this including, the way I think I explained earlier, the indigenously built green hydrogen plant, we have seen a lot
of PLI announcements, so everything to do with automation, not the molecular part of process technology but the automation part of that technology is something that Honeywell
Automation would participate as a leading system integrator. You know, some of the shareholders were right. We did not do a good job in explaining how important data centre markets are for us . We are again one of the leading providers for integrated building management system, fire, security and access control for data centres which we know are a critical asset given the criticality it has to in a digital, what you say, overall investment. So data centre investments are an important element of our growth and I think we did mention that some of the key wins in that space in our earlier slides.

15 - There was a

question on exports as to why we should be concerned about the export percentage going down and the domestic percentage going up. To be honest, I think I did mention that, over the past many years, the export business has outgrown or the pace o f export business has outgrown the pace of domestic business. Now while that is true, both have actually grown, exports have grown on a lower base, that was at 16% over the past 2 decades and domestic has grown around 10% over the similar period. The good news in this mix is that the domestic business is growing faster. So it’s not that the export business is not growing but the domestic business is growing faster. Now while the export business is relatively linear, a large chunk of our export business is services which is linear in nature, contract manufacturing which is relatively linear and a very small portion is project exports whereas in our domestic business, our intention is to create what we call as install base, w hich is very similar to the theory of razor and razor blade. The moment you win the install base, you are able to get annuity or life cycle services for the life of the entire asset which is the total cost of ownership. Hence, we do see that our domestic business is not truly growing in the same linearity because projects are lumpy in nature which are also one of the reasons why our margin rates are not steady given the both, the mix between domestic project business and domestic service and overall domestic business versus export business. But at the end of the day, we will always be, what you
say, encouraged and to improve our margin in those respective segments independently. We do report our entire financials into one segment, so we cannot really give you margin rates but I think it’s a good proxy to say that if my domestic business is growing and we all know that capital investments, both in government as well as private sector in India is pretty optimistic and hence we

participate in that upcycle and hence our domestic business will continue to grow. We are targeting ourselves to grow at the rate of 2X the GDP. But that will put some pressure given the mix of domestic business between projects and services.

- There was a question with respect to Middle East entities and growth in Middle East especially in Saudi and other Middle Eastern countries. Like India, many Middle Eastern countries have also announced their equivalent Make- in-India or localization projects. Honeywell has been in those countries for decades in the past, independent of Honeywell Automation India Ltd. So it is fair to say that a large chunk of that growth will be captured by the entities in those regions. However, we have a very particular advantage with respect to the skills and the capabilities that we have because our industrialization has been pretty diverse and our talent pool has been pretty stable over the past many years. So we will see a fair share of that growth being sub -contracted to us through Honeywell subsidiaries but it is also fair to assume that a large chunk of that growth in those markets will go to the Honeywell entities in those respective markets.

- There was a question on data centres, which I think I covered . Again the question from Invesco Mutual Funds around the business part of it. There was a broad question on, if Honeywell Global margins are at the 25% range, why are Indian margins not in that range, and it will be fair to say that, first of all our portfolio is a very small portfolio of global Honeywell. So truly the margin rates are not comparable. As explained in our organic growth strategy earlier, our portfolio is associated with process solution, building solution, system integration. So the extent of we creating Install Base, we would all agree that India is creating Install Base at a much more rapid pace than globally and hence, those profit rates are not entirely comparable because of the revenue

mix.

- What are the new areas of growth and are we seeing traction? I think sustainability and digitalization and sustainability on the automation side, we always try to make a simple 16 distinction in between what we cover as our portfolio. This business does not cover anything to do with molecular aspect of Chemistry and Physics, which is part of global Honeywell but anything that is required to automate that process from a system integr ation perspective which is part of process solution is something that we would cover. So everything with the new age technology or new age investment happening in compressed biogas, happening in the renewable energies that require storage and load balancing, pharmaceuticals, life sciences. On the life science piece, we do have solutions, both on the process side of automation as well as on the facility side of automation because every life science facility would need clean room environment which is a building automation solution that we provide, will require fire safety that has very different levels of redundancy and resiliency. So all those on the facility side is something that we would do through our building solutions business.

- The outlook on exports, I think I mentioned it. I would say that we believe that our domestic growth will outperform the export growth and that’s pretty much reflective of India being a high growth region and hence we are getting our fair share of such growth in India.

- There was a question on, what data points that we would look at with respect to tracking Honeywell, what Honeywell Automation is doing . I would say, industrial growth and the overall distinguishing between our domestic business and our export business, though it is one segment, we do give that breakup between domestic and export. We unfortunately cannot give the break -up between process solution, building solution and the distribution business because they all form a part of the single segment which is the automation segment.

- What percentage of our revenue from the products for the last 5 years and how do we track the innovation business? Again we have, I would say largely 3 segments of our revenue, segments is a wrong word, 3 elements of our revenue – one is projects which is largely system integration, one is services and one is distribution. They are of course both in domestic as well as export. When we do for example services for a new age industry like pharma, like battery energy storage systems for renewable systems, they are truly I would say new products though you cannot call those services new services because they are using our core technology which we have. It’s a bit difficult for us to basically come up with a percentage of new products to track innovation but we have our own ways of tracking innovation with respect to vitality, which is what we do internally.

- There was a question around, whether customer dynamics have changed? Customer dynamics have changed to the extent that customers are now way more responsible with respect to their carbon footprint or the need for energy transition. We still believe that there is a big play for the conventional energy needs that needs to be cleaner. Even for example moving from BS5 to BS6, it is still conventional energy but there is still a lot of investment going there. A lot of investments have been growing in natural gas for that matter. So all those with respect to transportation, processing from an automation perspective is where we believe, we continue to participate as well as pivot into new industries that we spoke about which is the renewable industry, pharma, life sciences, data centres. In the 3 risks, I think in our Management and Discussion Analysis , we have pointed put two geo- political risks. I think while we have a clear advantage with our cost base as well as our talent pool, we have seen many countries taking very nationalist views on meeting their own de

mand
with respect to investments being made in their own countries or in clusters like in European Union, within the European Union. They do possess a risk to us for that matter. The high oil import bill of this country is both a positive as well negative, as I explained
17 earlier. The overall global economy, while we did not grow fast, we did not shrink as some of the other industries that shrank during the covid period. Again because we have such a diverse business between exports and domestics, between domestic of process and building, between projects and services or Install Base, that diversity helps us to stabilize the ups and downs of the single segment business that you would see.

- Foreign exchange fluctuation, your company is a net exporter and hence a net gain in foreign exchange but a strong rupee would hurt us or a strong dollar would help us on our domestic side of the business. We have all seen the disruption of the global supply chain, thankfully most of it is behind us. We are still seeing a small portion of supply chain still being disrupted but largely I would say that risk is behind us .

- There was a question on the nature of services. The nature of services are again 2 fold. Services that are given to our global Honeywell which is our engineering services and services that are given to our domestic business , which are largely annual maintenance contract or life cycle services and hence both are clubbed into services. The extent of global Honeywell Services could go up and down depending upon the need for such services in those countries.

- There was a question around outlook of process solution, system sensor. I covered a large chunk of it. I would summarize by saying that energy demand for conventional energy for the next 5- 6 yrs. will continue and hence automation and the benefit that we already have that as an install base. So upgrading or making these assets even more efficient is something where capital will be spent and we will participate in that capital investment.

- And subsequent transition to make those conventional energy less impactful from a carbon perspective and eventually into green out there, which is the automation pace that I covered earlier.

- Outlook on exports, I think I did cover the outlook on exports broadly by saying, the company has clear advantages from a cost arbitrage and capability perspective but there are headwinds from the fact that many countries are now insisting on localization of their respective value chain and hence thereby, overall global international trade will have that rebalancing as we speak.

- From a new segments' perspective, we have always participated in power, transmission and distribution. We take the feedback that we haven't explained our data centre play well, we will do that going forward. On the railways, we are there with respect to ef ficiency and the investment that the railways are trying to do on safety and security but we do not have any presence in defense. Our defense presence is to the extent of giving sensing solutions to OEMSs to the extent that they have manufacturing set -ups in India.

- There was a question around, how do you look at competition intensity in the process automation sector? I would say that the competition intensity is very similar to any capital good industry that have a model of a razor - razor blade to the extent that you have a value proposition of your installed base and your technology which the customer would like to maintain over the life cycle of the entire asset which is very critical to them, that is where we would play and that i s where we would be very aggressive to win that Install Base, so that we could serve that customer for life, thereon. Like any other business, the annuity business is always profitable, way more profitable than the Install Base.
18
- There was a question around market share. We would only say that, we do measure

the
overall share of demand and our participation in that particular segment and we do believe that we continue to improve our share of demand in the served segments of the res pective industries that we spoke about.

- Let me see, if there is anything else that is there for me to cover here. Again, there was a question around breaking up of revenue between process solution and building solution. Unfortunately, we cannot give that data because it's all part of one segment.

- What is the general execution cycle for the projects? I would say, a general product project is between 6 months to 12 months, but we have large projects that go up to 36 months for that matter. So, it's generally between normal run rate business of 6 -12 months and larger projects between 18 to 36 months.

- There was a question around EBITDA rates. While Pulkit will cover it, I think I mentioned it broadly by saying that it is a reflection of mix between exports and domestic and within
domestic, projects and services and aftermarket services.

- There was a question around export revenue. I think I covered the export revenue piece so I will skip that.

- What is the sourcing policy with the parent? I think our sourcing policy is clear in the sense that we are a part of Honeywell Inc. We would sell and buy Honeywell products from our
subsidiaries, system integrate them and then sell it locally and at the sa me time, to the extent that services are required by Honeywell, from looking at our competency as well as our cost arbitrage, we would get those services both in terms of absolute services and contract manufacturing that we have explained in our part of ou r MDNA.

- So, these broadly cover the business questions, I would say. I would now hand over to Pulkit for the financials.

- Mr. Pulkit Goyal – Chief Financial Officer, Honeywell Automation India Limited:

- Thank you, Atul . Thank you, shareholders, for asking the questions. You know before I start, let me make a quick comment that I would first try to answer the questions that are related to the previous fiscal year, that is the one that ended on 31
st March 2024 and if
time permits, I will take the specific question that had come on our accounting policy change.

- Couple of questions had come from Messrs. Aditya Birla Mutual Fund. The 1
st one was on
the order book of the company. We have provided the growth rates in the past but somehow the current year's growth rate not visible. Just like in the past years, we have also provided the order growth in this annual report as well. You can locate it on page no.48 and that has been mentioned, the only change we have done compared to the previous periods is that our order growth now includes all orders. In the past, we had disclosed only the external orders or non- Honeywell companies' orders.

- The other question that Aditya Birla Mutual Fund had was on the localization and how much localization has been achieved and I think similar question was also asked by other 19 investors and other shareholders as well. Now let me try and answer it in this way that, I know you are also trying to relate it through the traded goods that you see we take it from our other Honeywell subsidiary companies. Now HAIL always looks for oppor tunities to manufacture or source from India. However, there are some important Honeywell technologies that we will continue to import and leverage global Honeywell scale, supply chain and know -how. And another element which I would like to highlight before we decide to localize any of these productions, eac h product that we buy is consisting of several components and when it makes sense for Honeywell Automation India Limited to localize those productions keeping in mind the economies of scale, then we make that decision and the other important point to note here is that some of these trading products may also be part of our system integration portfolio too.

- Then there were questions from Messrs. Invesco Mutual Fund, again on the traded products, that you have seen that there is a decline or increase compared to 2020 from 13% to 19% in the last fiscal year. As I just mentioned, the localization decisions are made by the company keeping in mind the economies of scale and to what extent the backward and forward integration of the supply chain is possible in the country.

- There was another question from Invesco on the margins that, which segment enjoys highest profit margin. Is it manufacturing or traded goods or services? That's an easy answer. Its services' business also and as our Managing Director , Atul, had clarified, we have a razor and the razor blade model and higher the installed base that we have, we are able to reap bigger benefits of our after -market sales' portfolio, and this of course gives us much higher profit margin.

- You asked for also the outlook for the next 5 years. Unfortunately, I won't be able to provide the forward -looking statements on the projections for the next 5 years.

- There was another comment on or a question on the segments that have, what's the split between the project and product business? Again, as Atul has mentioned, HAIL has only 1 reportable segment and that is automation and control systems, and all our numbers are reported as per the Ac counting Standard requirements and we won't be able to provide any further business segmentation because our current segment is aligned with the local accounting GAAP. There was further add -on question on the current order book, the mix between the projects and the services. Again, you know, this mix is consistently changing and we always look for the opportunities to have of course higher installed bases which gives us annuity in businesses later on for the years to come, that's why it would be very difficult for us to kind of tell you what would be the mix between the 3 elements of our sales, that is product, projects and services.

- Just to let you know, our order growth, our entire order growth for HAIL in the last fiscal year was around 11% . One of the shareholders also asked about the previous 3 years' order growth. So in the last fiscal year that ended on 31 st March 2024, it was 11% . A year before, it was also around same at 12% and 2 years' prior to that, that means the year that ended on 31st March 2022, it was around 30% .

- Then there were couple of questions from SBI Mutual Fund, more particularly on our decline in EBITDA margin. You commented that margins have declined from 19. 4% in 2021 to 13. 8% in the last fiscal year. I would like to elaborate on what Atul has just mentioned that, they are 2 important factors when we look at this margin variation. One 20 is, that you know, we operate in the competitive market place and there are a couple of factors that really put pressure on our margins and one of which is of course the mix of the business. HAIL has projects, products and service businesses and as I just mentioned a few minutes ago, service business comes with of course much , much higher margins , than what would we normally earn on our project business or what we would do to set -up our installed bases. This mix indeed plays a role in our profitability. And as we are building our installed bases which are typically falling under our project businesses, will always come with a lower margin as I just mentioned. This mix, you know, kind of distorts our margin sometimes.

- The other element, again just to elaborate on what Atul had mentioned, the other mix which kind of plays a role in our margins is, the share of our local business as well as the international business and as you may know, that our domestic market is more c ompetitive than what we have in our international markets and in the last 2- 2.5 decades, this has undergone a lot of change and we are now seeing that, especially since the last 3 years, o

ur domestic business is growing faster than the export business. So these 2 important mix elements kind of do have a role in our margin variations.

- The last set of questions that I have from Messrs. Kotak Mutual Fund, again it was on the external order book and how much growth has it shown over the last year. As I mentioned the growth is around 11% and aspiration is always to be at 1.5 -2X of the GDP and we have been maintaining that at least in the last 2yrs. Another question from Kotak Mutual Fund was on the margin trajectory. As I mentioned, I won't be able to give you the future outlook. However, it will be depending upon the mix of the business that we have. Another and the last question that was from Kotak Mutual Fund was on the supply chain constraint. Is it resolved? As we stand today, we do not see major supply chain disruptions and all our production as well as the deliveries are on track and we do not see major disruptions here.

- Now let me take a couple of minutes to answer the comment s. Normally I would not take up any questions related to the last quarter's performance. However, since the question was a bit specific and pertaining to our accounting policy change, we thought we will make

a few comments here. In the past, until the last fiscal year, HAIL was showing reimbursement of expenses which was connected with our engineering services export business, we call it GES, was added since it was invoice without margin, added to sales as well as expenses and there was a change in the agreement that was made effective 1
st of April, now requiring us to have those expenses pre -authorized and since there was no margi n element on those expenses, we have now decided it to net it out directly from the expenses. So this is not really an adjustment and it is profit neutral but it is a change in the way we have presented our revenue and the expenses. That's the reason why y ou see this note and this will be our policy going forward.

- Mr. Atul Pai – Managing Director, Honeywell Automation India Limited:

- Maybe I can just add to that . I think the punch point is, it is profit neutral for that matter and we will disclose this for the next 3- 4 quarters, till the time we have comparables and we have given the comparable table so that people can look at our analysis. This is a changed pros pective for that matter and hence this quarter's growth would be 10% versus the 3% that you are seeing as of now.

21 - Mr. Pulkit Goyal – Chief Financial Officer, Honeywell Automation India Limited:

- Thank you, over to you Chairman.

- Dr. Ganesh Natarajan – Chairman & Independent Director, Honeywell Automation India Limited:

- Sure, thank you very much. I think we had a very comprehensive response to all the questions that you have raised and as we have all said, I think India is on a tremendous growth path. We have been in the right spaces and continue to be in the right spaces to really participate very well in India's growth and of course exports, as both Atul and Pulkit have said is very much a continuing part of our business. So, thank you very much and I now authorize the Company Secretary to conduct the e -voting procedure and thereafter conclude this meeting. I further authorize the Company Secretary to accept, acknowledge and countersign this scrutinizer's report and declare the consolidated e- voting results on the receipt of the scrutinizer's report. As mentioned earlier, the e- voting facility was available during this meeting and will remain open for the next 15 minute s to enable the members to cast their vote. The results would be announced within the stipulated timelines and shared with stock exchanges and uploaded on the website of the company and NSDL respectively. I thank all the shareholders for attending this mee ting and for their continued support. With your consent, the other Board Members and I would now like to take your leave. Thank y

ou very much.
Count Down Timer from 15 mins – 0 mins

- Ms. Indu Daryani – Company Secretary, Honeywell Automation India Limited:

- Evoting was kept open for 15 minutes as mentioned by the Chairman. We now close the Evoting. The requisite quorum was present throughout the Meeting. Voting results of the Annual General Meeting will be announced by the Company within the stipulated timelines and shared with the Stock Exchanges and uploaded on the websites of the Company and NSDL , respectively .

- With this I declare the Meeting as concluded. Thank you for attending the Meeting.

END OF TRANSCRIPTION